

Credit Risk Monitoring Dashboard

Analysis of 1.34M Lending Club Loans | 2007-2018

Total Loans Analysed

1344936

Total Defaults

268488

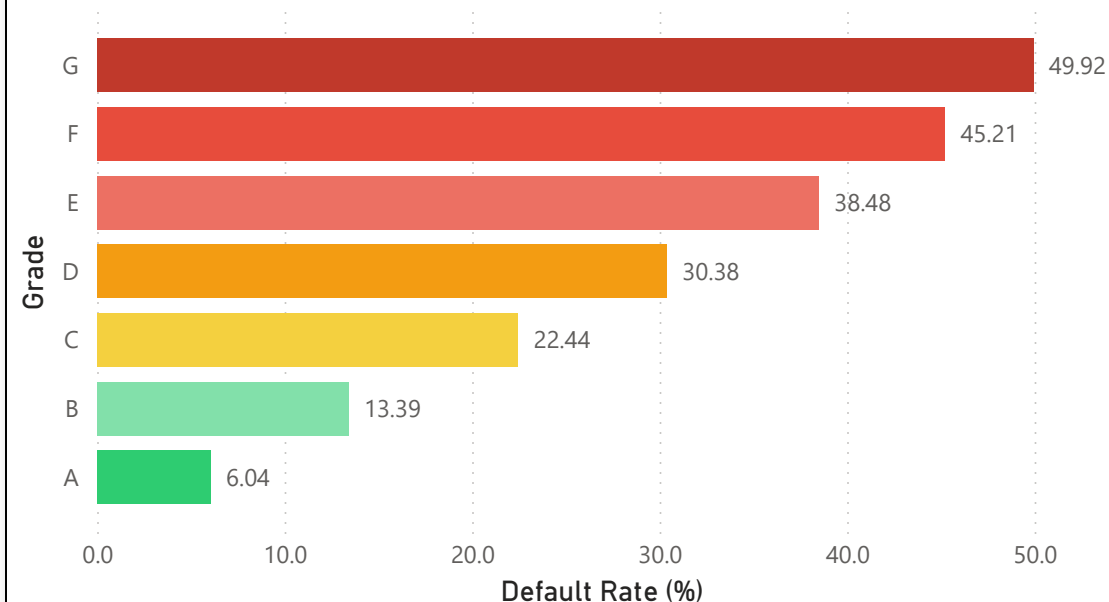
Overall Default Rate %

19.96

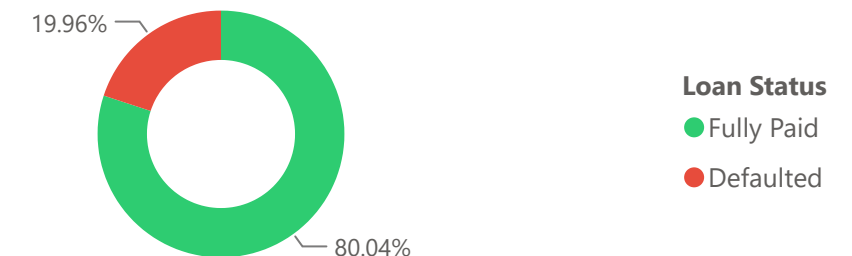
Total Portfolio Value(\$)

19.39bn

Default Rate By Loan Grade (%)



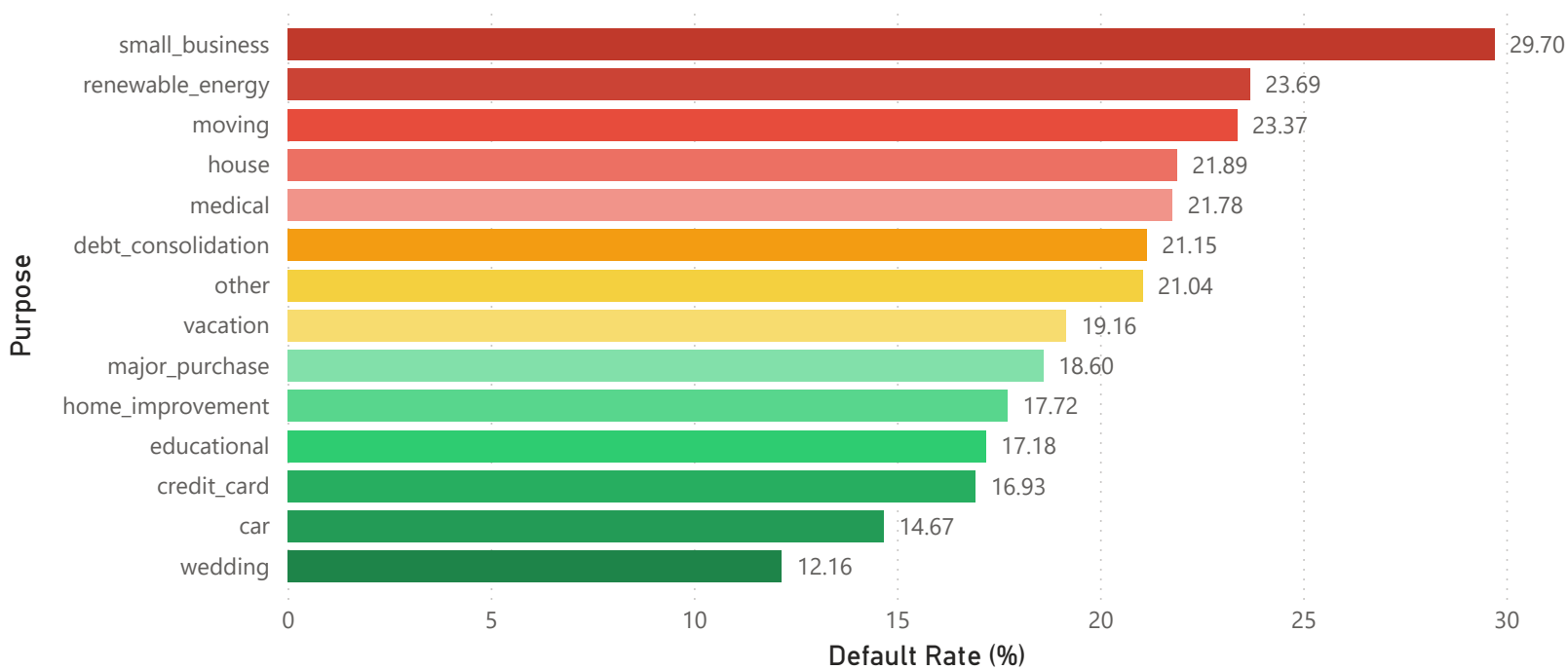
Loan Status Distribution



Key Finding: Grade G loans carry a 49.92% default rate - 8.3x higher than Grade A loans at 6.04%. Of 1.34M loans analyzed, 268,488 loans have defaulted representing a 19.96% overall default rate. The total portfolio value stands at **\$19.39B** - making default risk management critical to portfolio health.

Loan Default Risk By Purpose

Default Rate By Loan Purpose (%)



Highest Risk Purpose (%)

29.70
Small Business

Top 5 Highest Risk Loan Purposes

Purpose	Total Loans	Defaults	Default Rate (%)	Avg Loan Amount (\$)	Avg DTI
small_business	15414	4578	29.70	15,642.89	14.58
renewable_energy	933	221	23.69	10,018.27	16.18
moving	9474	2214	23.37	7,862.48	16.57
house	7250	1587	21.89	15,399.99	14.67
medical	15548	3387	21.78	9,000.36	17.62

Key Insights: Small business loans carry the highest default rate at 29.70% - nearly 1.5x the portfolio average of 19.96%. Debt consolidation loans represent the largest volume at 780,106 loans with a 21.15% default rate - the single biggest contributor to total defaults by volume.

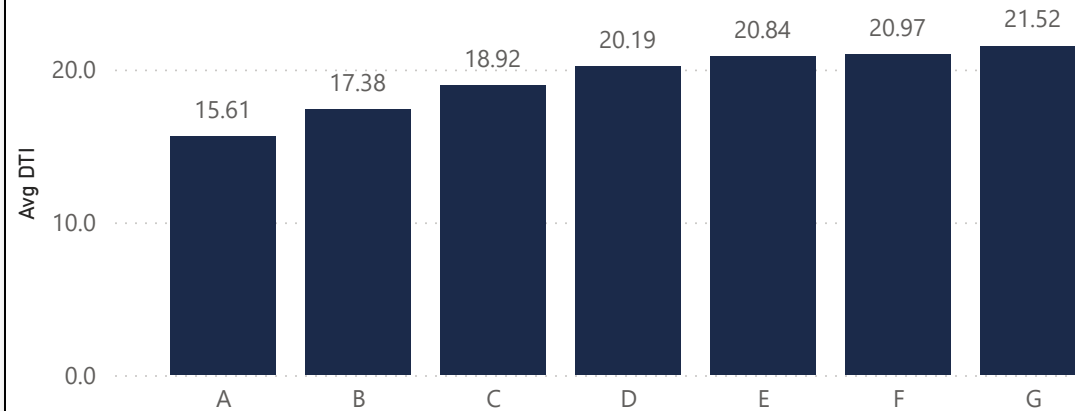
Recommendation: Tighten lending criteria for small business and moving loan categories immediately.

Borrower Financial Profile by Risk Grade

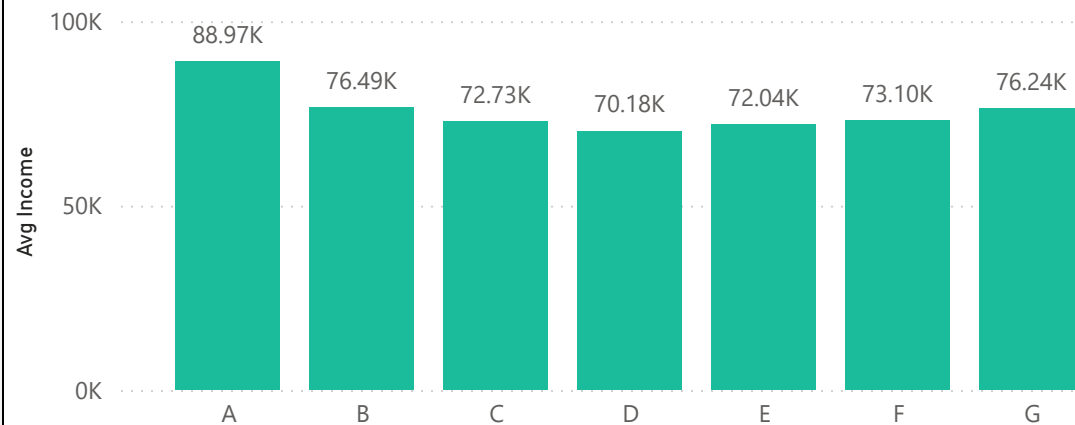
Loan Grade

All

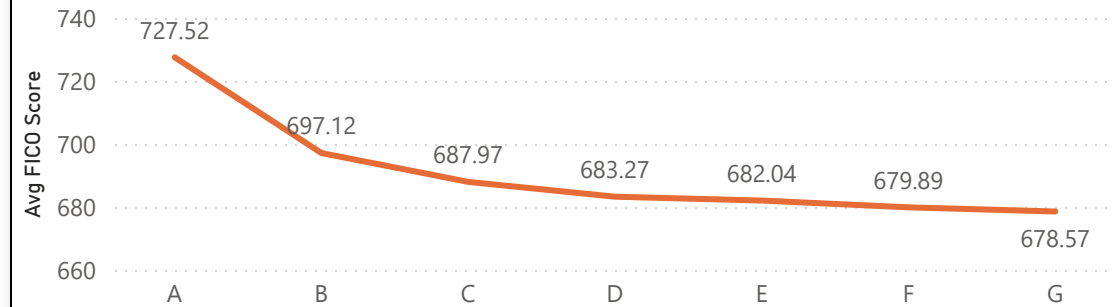
Average Debt-to-Income (DTI) Ratio by Grade



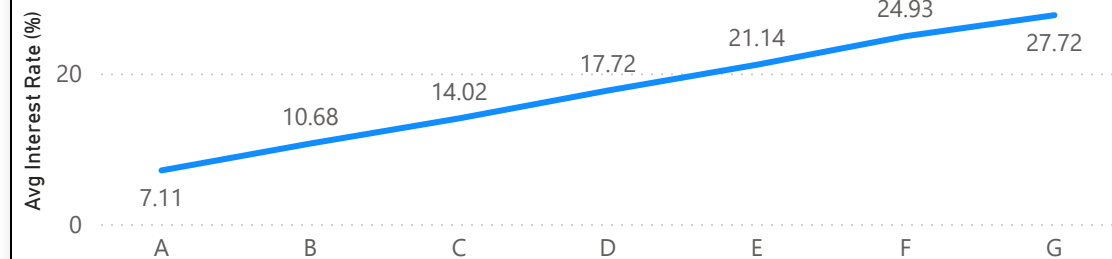
Average Annual Income by Grade (\$)



Avg FICO Score by Grade



Average Interest Rate by Grade (%)



Key Insights: Grade A borrowers have a 727 FICO score, \$88,970 income and only 6.04% default rate. Grade G borrowers despite earning more than Grade E and F (\$76,242) default at 49.92% - proving income alone is insufficient as a risk indicator.

As grade worsens, interest rates rise from 7.11% to 27.72% creating a self-fulfilling default cycle - low FICO triggers high rates, high rates cause repayment stress, stress causes default. Interest rate caps for Grade F and G borrowers could break this cycle.

High Risk Borrower Segment analysis

Grade D-G Loans | Segments with 100+ Loans

Top 30 Highest Default Rate Segments								
Grade	Purpose	Employment Length	Total Loans	Defaults	Avg DTI	Default Rate (%)	Avg Income (\$)	Avg Loan Amout (\$)
G	debt_consolidation		283	174	32.28	61.48	48,225.42	16,839.66
F	debt_consolidation		1032	587	26.76	56.88	48,888.82	15,059.06
G	debt_consolidation	5 years	316	179	22.78	56.65	71,522.88	20,879.98
G	small_business	10+ years	113	63	15.46	55.75	98,345.50	22,894.47
G	debt_consolidation	8 years	244	132	22.93	54.10	74,280.81	21,364.14
G	debt_consolidation	2 years	476	257	22.80	53.99	72,679.64	20,675.68
G	debt_consolidation	1 year	378	202	22.88	53.44	70,135.11	19,919.18
G	debt_consolidation	4 years	307	161	22.36	52.44	73,937.19	20,680.13
F	credit_card	3 years	205	107	22.40	52.20	70,993.99	20,094.15
G	debt_consolidation	< 1 year	442	229	23.62	51.81	69,952.04	20,760.46
G	debt_consolidation	3 years	420	214	21.63	50.95	73,822.78	21,005.06

Loan Grade

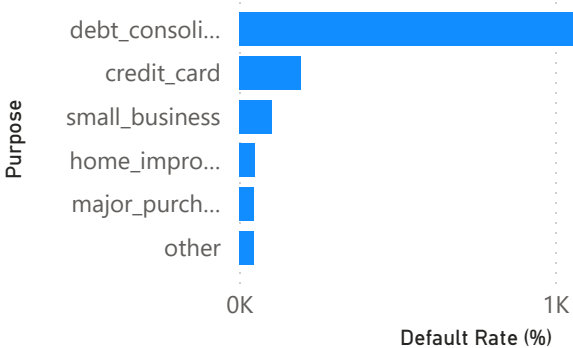
All

Highest Segment Default Rate (%)

61.48%

Max Default Rate (%)

Default Rate by Purpose - High Risk Grades Only



Critical Finding: Grade G debt consolidation loans issued to borrowers with unverified employment (NULL emp_length) carry a 61.48% default rate — the highest risk segment identified. 174 of 283 loans in this segment defaulted. Mandatory employment verification for all Grade F and G debt consolidation applications could significantly reduce this exposure.